

2.4 Resource management

Subject content	What students need to learn:
2.4.1 Production, productivity and efficiency	a) Methods of production: - o job - o batch - o flow - o cell b) Productivity: - o output per unit of input per time period: - factors influencing productivity - link between productivity and competitiveness c) Efficiency: - o production at minimum average cost: - factors influencing efficiency - distinction between labour and capital intensive production
2.4.2 Capacity utilisation	a) Capacity utilisation: - o $\text{current output (divided by) maximum possible output (x 100)}$ b) Implications of under- and over-utilisation of capacity c) Ways of improving capacity utilisation
2.4.3 Stock control	a) Interpretation of stock control diagram b) Buffer stocks c) Implications of poor stock control d) Just in time (JIT) management of stock e) Waste minimisation f) Competitive advantage from lean production
2.4.4 Quality management	a) Quality: - o control - o assurance - o circles - o Total Quality Management (TQM) b) Continuous improvement (Kaizen) c) Competitive advantage from quality management